

Laopu Gold

Underperform

Initiation: As good as it can get

Key Points

- Among luxury brands in China, Laopu Gold has the highest revenue per shopping mall and revenue per available square metre (in 2025).
- We have concerns that Chinese consumption power cannot match frequent price hikes, resulting in volume growth moderating.
- We initiate coverage of Laopu at Underperform, with a HK\$453 TP, based on 10x 2027E PER.

Can demand outpace the gold price rally? Gold price rallied by >60% YoY in 2025 and Laopu went through by four rounds of price hikes. We have concerns that Chinese consumption power cannot match the frequent price hikes over the last two years, resulting in volume growth moderating. If the gold price remains rangebound, gold jewellery purchase demand is likely to moderate. Meanwhile, frequent discounts in 2025 could be a potential risk to Laopu's brand building.

Growth moderation from a high base and rising competition. Laopu same-store sales reached Rmb600-700mn per year in 2025. We saw limited upside since the store efficiency has exceeded top international luxury brands. Laopu is a first-mover in promoting heritage gold consumption in China; its success also attracts competitors to the space, which is likely be a headwind diluting store efficiency. Its operating expense ratio was only 14% in FY25, vs >40% for international peers. We think it is likely to see more channel and brand building investment in the future. As the company's store size keeps expanding, we are concerned operating leverage will be severe once sales growth moderates.

Dilemma between growth and capital management. At the end of 2025, the company had Rmb4.2bn net debt or Rmb6.26bn interest-bearing borrowings. We believe it could stretch its balance sheet to further expand its network. The company declared no less than a 50% dividend payout, implying 6.7% cash dividend yield for FY26E.

Earnings: We expect 140% net profit growth in FY26E, while in FY27E/28E we expect -40%/1%, due to SSS decline and operating deleveraging.

Valuation: We initiate coverage of Laopu at Underperform, with a HK\$453 TP, based on industry average multiple of 10x 2027E PER.

Catalysts: Earnings release, overseas expansion, operational update.

Investment Thesis and Recommendation

We initiate coverage of Laopu at Underperform as we expect its superior store efficiency may not be sustainable amid competition and frequent price hikes, and potential operating leverage risks.

Consumer Durables & Apparel Hong Kong



Linda
Huang, CFA



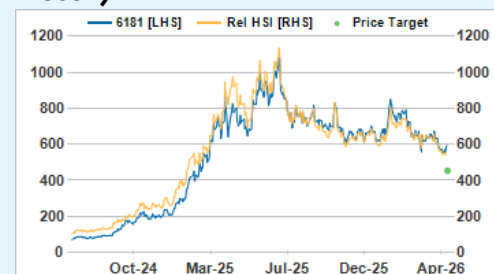
Sharon
Yi

6181 HK	Underperform
Price (at 8 May 2026)	HK\$592.50
12-month target	HK\$453.00
12-month TSR (%)	(17.0)
Market Cap (Local) (m)	104,721
Market Cap (USD) (m)	13,376
Free Float (%)	37
30-day avg turnover (USD) (m)	69.6

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (m)	27,303	50,023	39,987	42,016
Revenue growth (%)	221.0	83.2	(20.1)	5.1
EBIT (m)	6,519	15,470	9,364	9,442
EBIT growth (%)	230.2	137.3	(39.5)	0.8
Reported profit (m)	4,868	11,683	7,066	7,151
Adjusted profit (m)	4,868	11,683	7,066	7,151
EPS rep [CNY]	28.5	67.8	41.0	41.5
EPS rep growth (%)	201.0	138.0	(39.5)	1.2
EPS adj [CNY]	28.5	67.8	41.0	41.5
EPS adj (€)	28.5	67.8	41.0	41.5
EPS adj growth (%)	203.9	138.2	(39.5)	1.2
Net debt/equity (%)	37.8	(0.1)	3.0	(22.8)
ROA (%)	47.3	66.5	35.9	34.1
ROE (%)	64.8	76.9	35.7	32.3
PER rep (x)	18.1	7.6	12.6	12.4
PER adj (x)	18.1	7.6	12.6	12.4
EV/EBITDA (x)	13.5	5.9	9.7	9.6
P/BV (x)	8.0	4.6	4.4	3.7
Total div yield (%)	4.2	6.6	4.0	4.0
Quant (rank vs. global sector)	418 / 687			

6181 HK rel HSI performance, & rec history



Source: FactSet, Macquarie Research, May 2026 (all figures in CNY unless noted, TP in HKD)

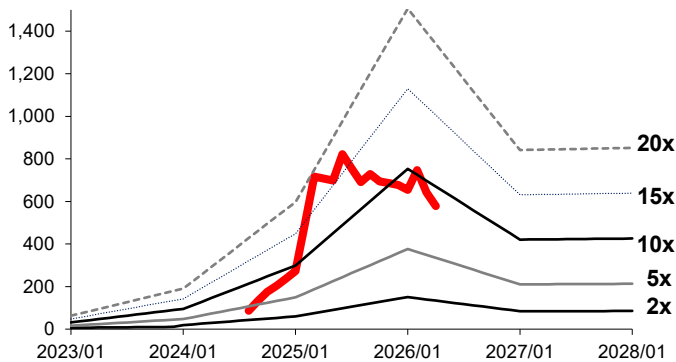
Key Risks to Investment Thesis

- Stronger-than-expected SSSG.
- Faster-than-expected store expansion.

Company Description

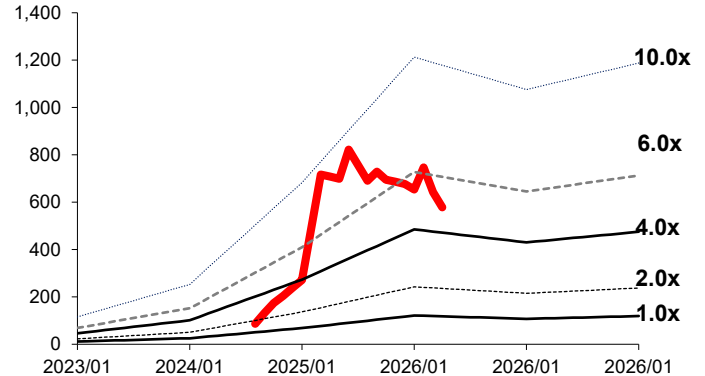
Founded in 2009, Laopu Gold is the first gold jewelry brand in China to promote the concept of heritage gold. As of December 2025, Laopu Gold operates a total of 45 stores, including 39 self-operated stores across 13 major cities in mainland China, 3 stores in Hong Kong, 2 stores in Macau and 1 store in Singapore.

Figure 1 - PE Band for Laopu Gold



Source: Bloomberg, Macquarie Research, May 2026

Figure 2 - PB Band for Laopu Gold



Source: Bloomberg, Macquarie Research, May 2026

Laopu Gold (6181 HK) CNY/(m) unless otherwise noted

Income Statement	Dec FY	2025A	2026E	2027E	2028E	2H/25A	1H/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		27,303	50,023	39,987	42,016	14,949	24,563	Cash	2,068	2,092	2,118	5,545
Cost of Goods Sold		17,029	28,346	24,268	25,888	9,380	13,707	Receivables	1,280	1,499	1,389	1,179
Gross Profit		10,274	21,677	15,719	16,129	5,569	10,857	Inventories	16,044	19,335	21,019	19,144
EBITDA		6,858	15,654	9,595	9,722	3,723	7,931	Investments	0.0	0.0	0.0	0.0
Depreciation		301.2	182.1	229.9	278.3	184.1	91.0	Fixed Assets	175.4	282.1	345.3	402.2
Amortisation		38.0	1.3	1.3	1.3	23.1	0.6	Intangibles	399.0	687.8	856.1	1,006
EBIT		6,519	15,470	9,364	9,442	3,516	7,840	Other Assets	1,285	1,379	1,128	1,179
Net Interest Income		(135.2)	(152.3)	(97.8)	(63.6)	(95.8)	(76.1)	Total Assets	21,253	25,274	26,856	28,454
Associates		0.0	0.0	0.0	0.0	0.0	0.0	Payables	635.9	806.9	427.3	888.8
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	6,164	1,967	2,629	0.0
Forex Gains / Losses		0.0	0.0	0.0	0.0	0.0	0.0	Long Term Debt	100.1	100.1	100.1	100.1
Other Pre-Tax Income		0.0	0.0	0.0	0.0	0.0	0.0	Other Liabilities	3,257	3,119	3,396	3,543
Pre-Tax Profit		6,384	15,318	9,266	9,379	3,420	7,764	Total Liabilities	10,157	5,993	6,552	4,532
Tax Expense		(1,516)	(3,634)	(2,200)	(2,227)	(819.9)	(1,824)	Shareholders' Funds	11,095	19,281	20,304	23,922
Net Profit		4,868	11,683	7,066	7,151	2,600	5,940	Minority Interests	0.0	0.0	0.0	0.0
Minority Interests		0.0	0.0	0.0	0.0	0.0	0.0	Other	0.0	0.0	0.0	0.0
Reported Earnings		4,868	11,683	7,066	7,151	2,600	5,940	Total S/H Equity	11,095	19,281	20,304	23,922
Adjusted Earnings		4,868	11,683	7,066	7,151	2,600	5,940	Total Liab & S/H Funds	21,253	25,274	26,856	28,454
Basic Shares Outstanding		172.3	172.3	172.3	172.3	172.3	172.3	Net Debt / Equity (%)	37.8	(0.1)	3.0	(22.8)
Diluted Shares Outstanding		170.9	172.3	172.3	172.3	172.3	172.3	Interest Cover (x)	48.2	101.6	95.8	148.4
EPS (rep) [CNY]		28.5	67.8	41.0	41.5	15.1	34.5	ROE (%)	64.8	76.9	35.7	32.3
EPS (adj) [CNY]		28.5	67.8	41.0	41.5	15.1	34.5	ROA (%)	47.3	66.5	35.9	34.1
Total DPS [CNY]		21.5	34.0	20.6	20.8	11.9	9.6	ROIC (%)	109.0	77.2	37.1	34.4
Ratio	2025A	2026E	2027E	2028E	Cash Flow Analysis			2025A	2026E	2027E	2028E	
Revenue Growth (%)	221.0	83.2	(20.1)	5.1	-	-	EBITDA	6,858	15,654	9,595	9,722	
EBITDA Growth (%)	218.2	128.2	(38.7)	1.3	-	-	Tax Paid	(1,347)	(3,634)	(2,200)	(2,227)	
EBIT Growth (%)	230.2	137.3	(39.5)	0.8	-	-	Chgs in Working Cap	436.6	171.0	(379.6)	461.5	
EPS Growth (adj) (%)	203.9	138.2	(39.5)	1.2	-	-	Net Interest Paid	0.0	0.0	0.0	0.0	
Gross Profit Margin (%)	37.6	43.3	39.3	38.4	-	-	Other	(12,797)	(3,713)	(1,307)	2,135	
EBITDA Margin (%)	25.1	31.3	24.0	23.1	-	-	Operating Cashflow	(6,848)	8,477	5,708	10,091	
EBIT Margin (%)	23.9	30.9	23.4	22.5	-	-	Acquisitions	0.0	0.0	0.0	0.0	
Net Profit Margin (%)	17.8	23.4	17.7	17.0	-	-	Capex	(145.1)	(150.1)	(120.0)	(126.0)	
Payout Ratio (%)	75.7	50.2	50.2	50.2	-	-	Other	0.0	0.8	0.8	0.8	
PE (rep) (x)	18.1	7.6	12.6	12.4	-	-	Investing Cashflow	(145.1)	(149.3)	(119.2)	(125.3)	
PE (adj) (x)	18.1	7.6	12.6	12.4	-	-	Dividend (Ordinary)	(1,096)	(3,699)	(5,842)	(3,533)	
EV/EBITDA (x)	13.5	5.9	9.7	9.6	-	-	Equity Raised	0.0	0.0	0.0	0.0	
EV/EBIT (x)	14.2	6.0	9.9	9.8	-	-	Debt Movements	(4,893)	4,197	(661.3)	2,629	
Price/Book (x)	8.0	4.6	4.4	3.7	-	-	Other	14,201	(8,802)	940.6	(5,635)	
Total Div Yield (%)	4.2	6.6	4.0	4.0	-	-	Financing Cashflow	8,211	(8,304)	(5,562)	(6,539)	
							Net Chg in Cash/Debt	1,185	23.6	26.4	3,427	
							Free Cashflow	(6,993)	8,327	5,588	9,965	

Source: Company data, Macquarie Research May 2026

Company overview

Founded in 2009, Laopu Gold is the first gold jewellery brand in China to promote the concept of heritage gold, and the first to apply heat treatment of enamels (燒藍) to pure gold products. These designs carry deep symbolic meaning and offer high product recognition. In addition to jewellery, the company specialises in high-weight gold items such as collectable pieces, everyday-use goldware, and decorative objects.

As of December 2025, Laopu Gold operated a total of 45 stores, including 39 self-operated stores across 13 major cities in mainland China, 3 stores in Hong Kong, 2 stores in Macau and 1 store in Singapore.

Frost & Sullivan estimates the market size of heritage gold jewellery in China surged from c.Rmb13.0bn in 2018 to c.Rmb219bn in 2024, accounting for 24% of China's total jewellery market share, and forecasts it to deliver an 18% revenue CAGR over 2024-2028E.

Moderating growth from high base

Laopu Gold has historically relied heavily on high same-store sales growth to drive its overall revenue performance. This strategy was effective during the early stages of development, particularly as the company benefited from its first-mover advantage in the heritage gold segment, strong product innovation, and Chinese chic-brand positioning strategy.

According to the company, in 2025, Laopu achieved an average annualised sales amount (tax-inclusive) of nearly Rmb1bn per shopping mall. According to Frost & Sullivan, among global luxury groups in 2025, it ranked first in terms of revenue per shopping mall and revenue per available square metre in China.

However, we believe the strong gold price rally is one of the most important drivers for Laopu Gold's market-share gains in the jewellery market. While we appreciate the company's unique product strategy, refined product craftsmanship and brand positioning, we expect limited upside for its average single store sales due to 1) sales volume growth moderation amid a surging gold price; and 2) Laopu's store efficiency has exceeded top international luxury brands.

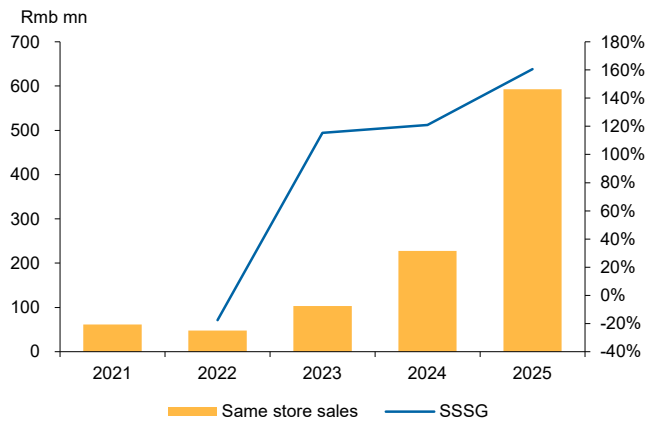
- Based on historical Chow Tai Fook's gold products SSSG, we see a negative correlation between gold sales volume and the gold-price trend. We are concerned that Chinese consumers' purchasing power has not kept pace with frequent price hikes, leading to further sales volume deterioration. Even if gold prices stabilise or decline, this would still be a weak consumption backdrop, as consumers primarily buy gold jewellery for value preservation.

Is operating leverage sustainable?

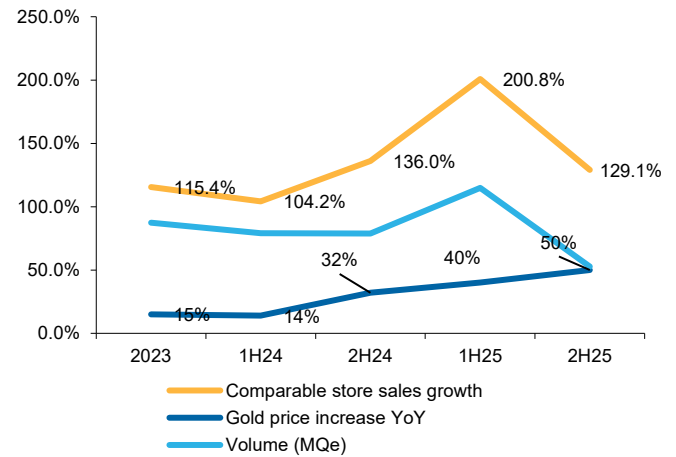
Laopu is benefiting from significant same-store sales growth, which creates substantial operating leverage and fast margin expansion. However, despite accelerating top-line performance, we see operating margin expansion and operating leverage benefits moderating.

Meanwhile, average gross margin and operating margin of major luxury/jewellery brands for FY25 is 65% and 24% respectively. Laopu is priced and performing like an optimised "best-case scenario" luxury brand, with an operating margin higher than most luxury groups except for Hermes, despite a much lower gross margin. As the company's store size keeps expanding, we believe any normalisation in China's "gold fever" or a moderation in its revenue growth will lead to severe operating deleveraging risks.

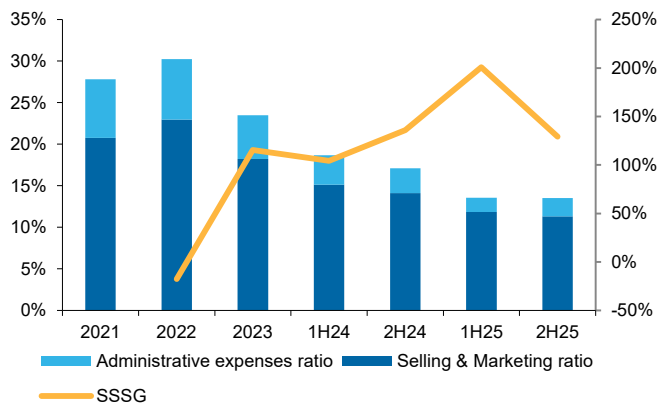
Dilemma between growth and capital management. At the end of 2025, the company had Rmb4.2bn net debt on its balance sheet and 45 stores worldwide. The company could stretch its balance sheet further or fund raise to further expand its network.

Figure 3 - Same store sales and SSSG

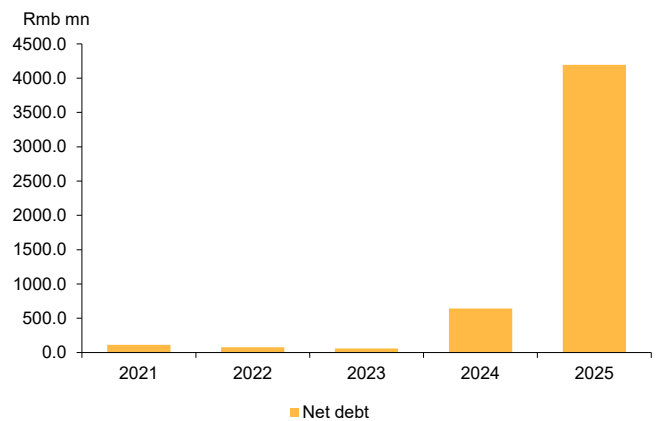
Source: Macquarie Research, May 2026

Figure 4 - We believe the elevated gold price to weigh on gold jewellery volume growth

Source: Company data, Macquarie Research, May 2026

Figure 5 - Laopu has showed decelerating operating leverage despite stellar SSSG

Source: Company data, Macquarie Research, May 2026

Figure 6 - Laopu has net debt of Rmb4.2bn as end of FY25

Source: Company data, Macquarie Research, May 2026

Financials and valuations

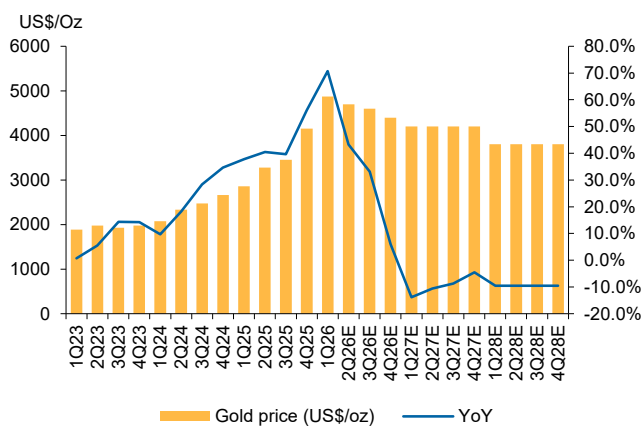
Revenue

Our Macquarie Desk strategists forecast the average gold price to rise 58%/18% in 1H/2H26 YoY, and then decline 13%/7% YoY in 1H27/2H27. Thus, we expect fixed-price gold momentum to slow in 2027.

- For 2026E, we expect 35% SSSG, driven mainly by elevated gold prices and price hikes. We forecast 83% revenue growth YoY, with 59% growth in offline boutiques and 200% growth online, supported by strong SSSG, store expansion, and gold price momentum.

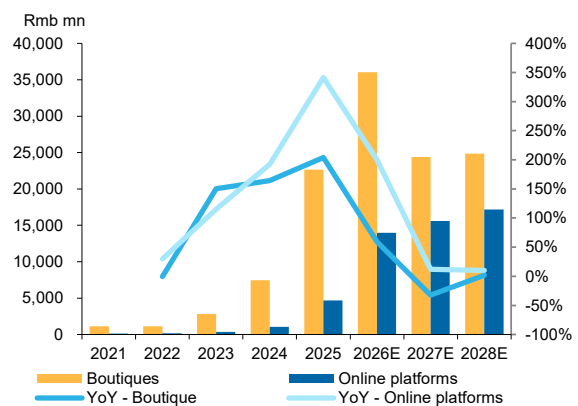
For 2027E, we expect a 40% SSS decline as lower gold prices weigh on sales volumes. We forecast a 20% revenue decline, with a 32% drop in boutique sales, partly offset by 12% online revenue growth.

Figure 7 - Macquarie gold price forecast



Source: Macquarie Desk Strategy, May 2026

Figure 8 - Revenue forecast by channels



Source: Macquarie Research, May 2026

Gross profit

- For 2026E, we expect gross margin to recover to 43.3%, supported by price hikes and the benefit of gold inventory built in 2025.
- For 2027E, we expect gross margin to drop to 39.3% due to more promotions amid competition.

Operating profit

- In 2026E, we expect operating profit to grow 137% YoY, driven by operating leverage and gross margin expansion.
- In 2027E, we expect operating profit to decline 39% YoY, reflecting lower gross margins, higher brand investment and operating deleverage.

Net income

- We estimate net income growth of 140%/-40%/1% for FY26E/27E/28E.

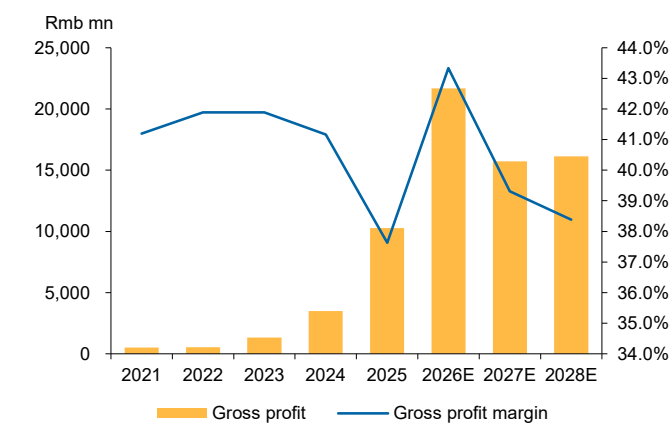
Cash and debt

- Over 2023 to 2025, the company's gross debt grew substantially from Rmb128mn to Rmb6.3bn due to fast-business expansion. By end-2025, it recorded net debt of Rmb4.2bn.

Valuation and target price

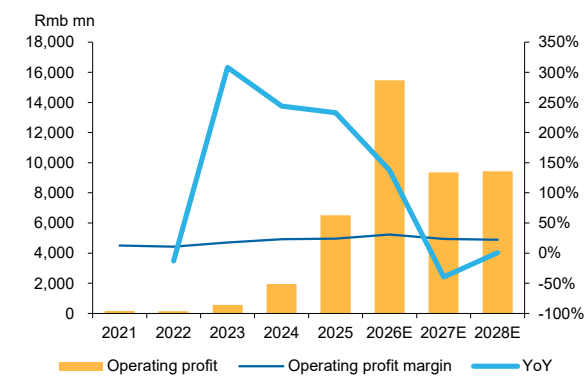
- Our HK\$453 target price is based on 10x FY27E PER, in line with HK/China gold jewellery retailers.

Figure 9 - Gross margin forecast



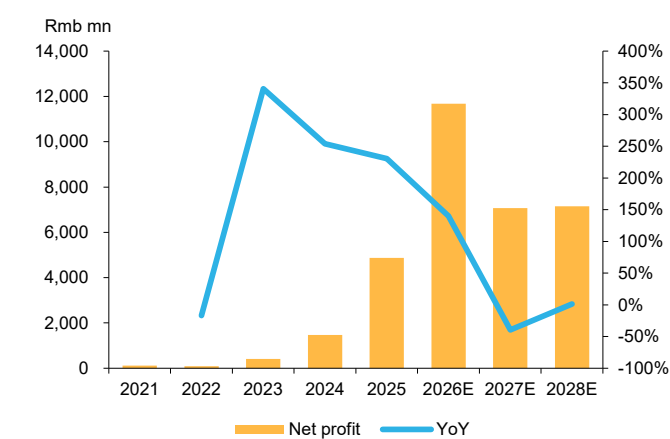
Source: Macquarie Research, May 2026

Figure 10 - Operating profit forecast



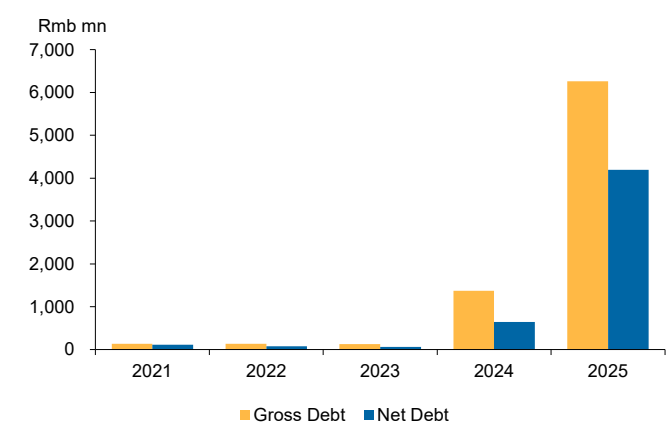
Source: Macquarie Research, May 2026

Figure 11 - Net profit forecast



Source: Macquarie Research, May 2026

Figure 12 - Gross debt and Net debt from 2021 to 2025



Source: Company data, Macquarie Research, May 2026

Figure 13 - Peer valuation comparison for Laopu Gold

Company Name	Code	Price (lcy/sh)	Ratings	TP (lcy/sh)	Upside (%)	Mkt Cap US\$m	P/E (x)		P/B (x)		ROE (%)		EPS Growth (%)		PEG		Div yield (%)
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E
Laopu Gold	6181 HK	586	UP	453.00	(22.7)	12,587.3	7.9	12.9	4.8	4.5	60.6	34.8	148.4	(39.0)	0.1	(0.3)	6.3
China gold jewellery																	
Chow Tai Fook	1929 HK	11.6	OP	19.8	70.2	14,643.2	12.6	8.8	4.1	3.8	33.6	45.0	55.4	43.8	0.2	6.3	6.3
Luk Fook	590 HK	23.0	OP	28.2	22.5	1,724.9	8.2	7.6	0.9	0.9	12.0	11.9	50.4	7.9	1.0	5.5	5.5
Chow Sang Sang	116 HK	11.8	NR	NR	NR	999.6	3.9	3.6	0.5	0.5	12.9	12.9	30.6	9.3	0.1	0.4	0.4
Chow Tai Seng	002867 CH	13.0	NR	NR	NR	1,943.7	11.5	10.5	2.0	1.8	17.4	18.0	11.3	9.5	1.0	1.1	1.1
CHJ	002345 CH	10.5	NR	NR	NR	1,398.0	13.3	11.1	2.2	2.0	17.1	18.5	49.2	19.5	0.3	0.6	0.6
Lao Feng Xiang	600612 CH	39.3	NR	NR	NR	2,487.4	11.0	10.3	1.4	1.3	12.4	12.4	9.5	6.7	1.2	1.5	1.5
Zhou Liu Fu	6168 HK	19.3	NR	NR	NR	655.3	7.6	6.4	1.5	1.3	19.3	20.5	6.7	18.0	1.1	0.4	0.4
Beijing Caishikou	605599 CH	19.3	NR	NR	NR	2,210.0	12.1	10.8	2.8	2.6	23.4	24.2	9.6	11.9	1.3	0.9	0.9
China average							10.0	8.6	1.9	1.8	18.5	20.4	27.9	15.8	0.8	2.1	2.1
Global luxury companies																	
Richemont	CFR SW	155.8	NR	NR	NR	114,843.6	27.6	24.3	4.2	3.8	15.7	16.5	(0.5)	13.6	1.8	1.9	1.9
LVMH	MC FP	474.0	NR	NR	NR	275,359.1	21.1	18.4	3.3	3.0	15.9	17.0	4.5	14.8	1.2	2.8	2.8
Swatch	UHR SW	190.7	NR	NR	NR	12,297.9	43.4	26.8	0.8	0.7	2.2	3.3	127.8	61.9	0.4	2.4	2.4
Prada	1913 HK	36.8	NR	NR	NR	11,939.2	12.6	11.2	2.0	1.8	16.7	17.7	(5.1)	12.9	0.9	4.2	4.2
Hermes	RMS FP	1671.5	NR	NR	NR	204,826.0	36.7	31.9	8.1	7.0	23.3	23.3	7.1	15.2	2.1	1.2	1.2
Capri	CPRI US	19.3	NR	NR	NR	2,458.3	13.8	10.4	18.6	7.5	46.5	74.8	43.7	32.0	0.3	0.3	-
Kering	KER FP	243.3	NR	NR	NR	34,965.8	34.7	23.5	2.0	1.8	5.3	7.5	17.5	48.0	2.0	0.5	1.5
Moncler	MONC IM	54.2	NR	NR	NR	17,646.7	22.7	20.7	3.6	3.3	16.3	16.5	9.0	9.6	2.5	2.1	2.6
Brunello Cucinelli	BC IM	84.7	NR	NR	NR	6,675.4	37.2	32.6	9.1	7.9	25.7	25.4	12.7	14.1	2.9	2.3	1.4
Tapestry	TPR US	148.8	NR	NR	NR	29,537.5	22.9	20.7	32.7	20.2	168.9	138.7	27.5	10.9	0.8	1.9	1.1
Ralph Lauren	RL US	372.2	NR	NR	NR	22,473.5	22.9	20.7	7.8	6.5	35.4	34.3	34.7	10.6	0.7	2.0	1.0
Global average							26.9	21.9	8.4	5.8	33.8	34.1	25.4	22.1	1.4	2.0	1.8
							19.8	16.3	5.7	4.1	27.4	28.3	26.4	19.5	1.1	2.0	1.9

Source: Bloomberg, prices as of 06/05/2026, Macquarie Research, May 2026

Can demand pick up with fast gold price rally?

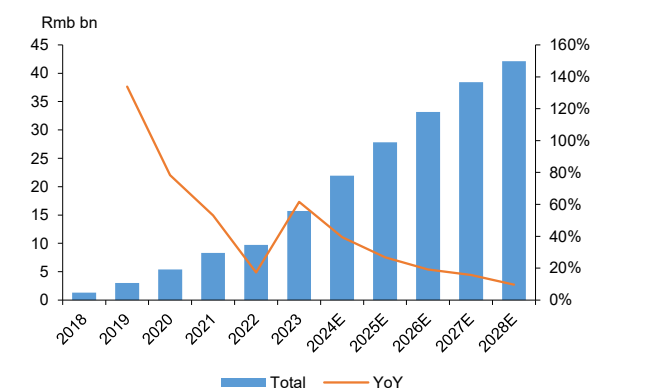
Rising on heritage gold momentum

As younger consumers become the dominant force in the market, there is growing demand for jewellery that embodies aesthetic appeal, cultural richness, distinctive brand identity, and refined fashion sensibilities. According to Frost & Sullivan, rising demand for the value-preservation and craftsmanship attributes of gold jewellery has made heritage gold one of the fastest-growing segments, reshaping China's gold jewellery market.

Heritage gold jewellery refers to a type of pure gold jewellery that combines modern designs and classic Chinese culture, features matte (哑光), sandy (磨砂) or other texture of ancient royal jewellery, and applies at least two Chinese traditional handmade gold crafting techniques as specified in the group standards published by the China Gold Association. These techniques include hammering (锤揲), carving (篆刻), hollowing (镂空), filigree (花丝), embedding (镶嵌), and heat treatment of enamels (烧蓝).

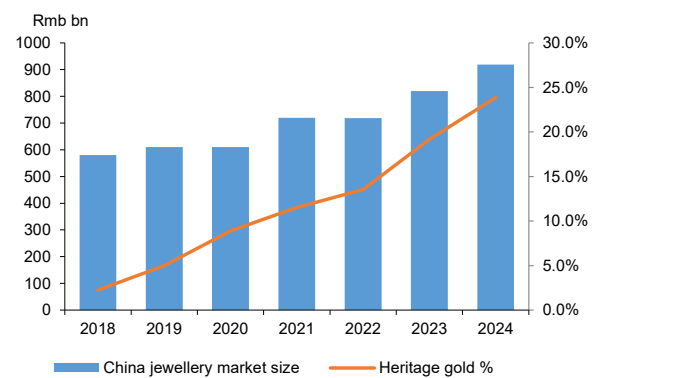
Frost & Sullivan reports that China's heritage gold jewellery market expanded from about Rmb13.0bn in 2018 to around Rmb219bn in 2024, implying a 60% CAGR and accounting for 24% of China's total jewellery market.

Figure 14 - Frost & Sullivan forecasts China's heritage gold jewellery market to reach c.Rmb421.4 billion from 2024 to 2028, delivering an 18% CAGR.



Source: Frost & Sullivan, Macquarie Research, March 2026

Figure 15 - Heritage gold jewellery market share of total China jewelry market



Source: Gems & Jewelry Trade Association of China, China Gold Association, Frost & Sullivan, Macquarie Research, March 2026

Pioneer heritage gold jewellery brand

Founded in 2009, Laopu Gold is the first gold jewellery brand in China to promote the concept of heritage gold, and the first to apply heat treatment of enamels (烧蓝) to pure gold products. The products incorporate classic Chinese cultural elements such as gourds, lattice windows, and vajras. These designs carry deep symbolic meaning and offer high product recognition. In addition to jewellery, the company specialises in high-weight gold items such as collectable pieces, everyday-use goldware, and decorative objects.

Leveraging its first-mover advantage in the heritage gold segment - alongside innovative design, advanced manufacturing, and R&D, and exceptional customer service - Laopu successfully capitalises on the significant growth potential of China's heritage gold jewellery market, with market share of 2% in terms of the heritage gold jewellery in 2023.

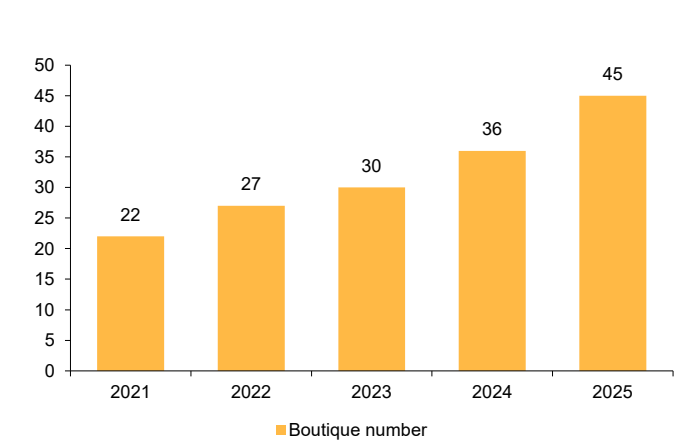
Among the top-10 players in China heritage gold jewellery market, Laopu Gold is the only brand that focusses on heritage gold jewellery products and one of only three brands that adopts a self-operation model for all offline stores.

As of December 2025, Laopu Gold operated a total of 45 stores, including 39 self-operated stores across 13 major cities in mainland China, 3 stores in Hong Kong, 2 stores in Macau and 1 store in Singapore. All stores are located in high-end luxury shopping malls in first-tier and new first-tier markets, such as Beijing SKP, MixC, and Taikoo Hui. Apart from 10

new boutique openings, it also optimised and expanded nine boutiques in 2025, which also generate incremental revenue contribution.

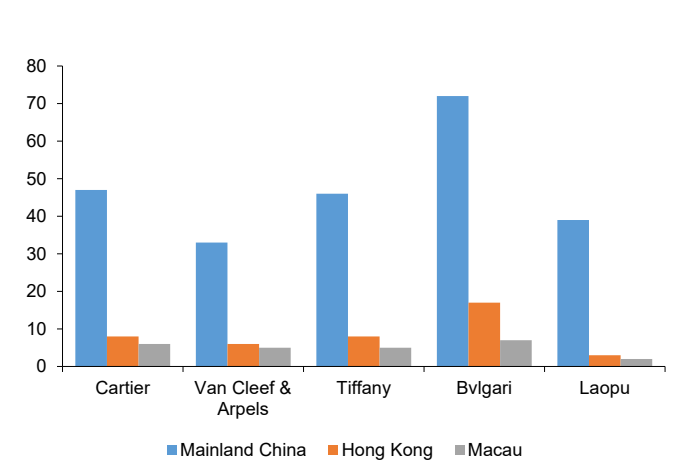
With continued domestic and international expansion, the company aims to build Laopu Gold into a globally competitive brand. Compared with leading luxury jewellery brands such as Cartier, Van Cleef & Arpels, and Tiffany - which operate **61/44/59 stores** across **25-30 cities** in Greater China - we believe Laopu's future store expansion will mainly come from entering new cities in China and expanding overseas.

Figure 16 - As end of FY25, Laopu has a total of 45 stores located in 15 cities in Greater China and 1 store in Singapore



Source: Company data, Macquarie Research, March 2026

Figure 17 - Greater China store network for top jewellery brands



Source: Company data, Macquarie Research, March 2026

Figure 18 - Laopu product series: Gold stationery, decorative ornaments and daily use items



Source: Company data, March 2026

Figure 19 - Laopu product series: Heritage gold jewellery



Source: Company data, March 2026

Figure 20 - Laopu's product series and price range

Brand	Collection / Series		Core Items	Materials	Price Range (CNY)
Lao Pu Gold	Rose Window Collection		Pendants, Rings, Earrings, Bracelets, Bangles	24K Gold, Diamonds, Gems	¥20,000 - ¥50,000
	Vajra Collection		Pendants, Rings, Earrings, Bracelets, Bangles	24K Gold, Diamonds, Gems	¥20,000 - ¥90,000
	Butterfly Collection		Pendants, Rings, Earrings, Bracelets, Bangles	24K Gold, Diamonds, Gems	¥15,000 - ¥60,000
	Hoist Collection		Pendants, Rings, Earrings, Bracelets, Bangles	24K Gold, Diamonds, Gems	¥20,000 - ¥80,000
	Wedding Collection		Pendants, Rings, Earrings, Bracelets, Bangles	24K Gold, Diamonds, Gems	¥10,000 - ¥200,000
	Baby Collection		Pendants, Bracelets, Bangles	24K Gold, Diamonds, Gems	¥30,000 - ¥60,000
	Imperial Goldware		Bowls, Tea Sets, Incense Burners	24K Pure Gold	¥60,000 - ¥1,500,000+

Source: TMall, Prices as of April 2026, Macquarie Research, May 2026

Figure 21 - Global luxury jewellery brands' product series and price range

Brand	Collection / Series		Core Items	Materials	Price Range (CNY)
Cartier	Love Collection		Rings, Bracelets (Iconic)	18K Gold, Diamonds	¥11,000 - ¥550,000
	Juste un Clou		Nail Ring, Nail Bracelet	18K Gold, Diamonds	¥10,000 - ¥450,000
	Panthère de Cartier		Watches, Necklaces, Rings	18K Gold, Onyx, Emeralds	¥35,000 - ¥2,000,000+
	Trinity		Rolling Rings, Necklaces	18K White/Yellow/Rose Gold	¥10,000 - ¥80,000
Bulgari	B.zero1		Rings, Necklaces (Architectural)	18K Gold, Ceramic, Marble	¥15,000 - ¥100,000
	Serpenti Viper		Snake-scale Rings & Bracelets	18K Gold, Diamonds, Malachite	¥25,000 - ¥350,000
	Divas' Dream		Fan-shaped Necklaces	18K Gold, Mother of Pearl, Carnelian	¥18,000 - ¥180,000
Tiffany & Co.	Tiffany T		T-Smile, T1 Rings/Bracelets	18K Gold, Diamonds	¥10,000 - ¥180,000
	Tiffany Lock		Padlock Bracelets & Rings	18K Gold, Pave Diamonds	¥12,000 - ¥350,000
	Tiffany HardWear		Gauge Links, Ball Necklaces	18K Gold, Sterling Silver	¥6,000 - ¥220,000

Source: Prices as of April 2026, Tmall, Company data, Macquarie Research, April 2026

Figure 22 - Global luxury jewellery brands' product series and price range

Brand	Collection / Series		Core Items	Materials	Price Range (CNY)
Van Cleef & Arpels	Alhambra		Vintage Alhambra (Clover)	18K Gold, MOP, Onyx, Carnelian	¥26,000 - ¥250,000
	Perlée		Golden Beads, Rings	18K Gold, Diamonds, Gems	¥12,000 - ¥200,000
	Frivole		Flower Motif Earrings/Necklaces	18K Gold, Mirror-polished Gold	¥18,000 - ¥300,000
Hermès	Chaine d’Ancre		Silver & Gold Anchor Chain	925 Silver, 18K Gold	¥20,000 - ¥180,000
	Kelly/Birkin Amulettes		Jewelry miniatures of bags	18K Gold, Diamonds	¥28,000 - ¥150,000

Source: Prices as of April 2026, Tmall, Company data, Macquarie Research, April 2026

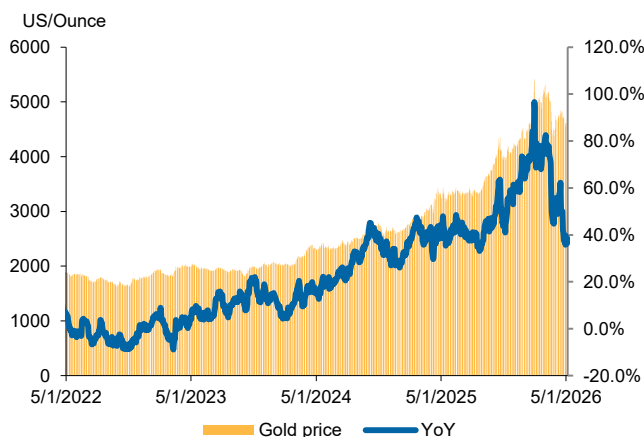
Can demand hold up amid gold price rally?

Laopu Gold has historically relied heavily on exceptionally high same-store sales growth to drive its overall revenue performance. This strategy was effective during the early stages of development, particularly as the company benefited from its first-mover advantage in the heritage gold segment, strong product innovation, and Chinese chic brand positioning strategy.

According to the company, in 2025, Laopu achieved average annualised sales (tax-inclusive) of nearly Rmb1bn per shopping mall. According to Frost & Sullivan, among global luxury groups in 2025, it ranked first in terms of revenue per shopping mall and revenue per available square metre in China, with three consecutive years of triple-digit same store sales growth, boosted by strong heritage gold momentum, rising brand recognition, as well as the gold price rally.

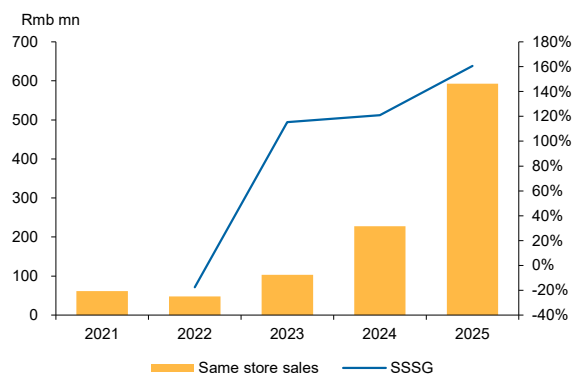
However, we believe the strong gold price rally is one of the most important drivers for Laopu Gold's market share gain in jewellery market. While we appreciate the company's unique product strategy, refined product craftsmanship and brand positioning, we expect limited upside for its average single store sales due to 1) sales volume growth moderation amid surging gold price; and 2) Laopu's store efficiency has significantly exceeded top international luxury brands.

Figure 23 - Gold price change



Source: Bloomberg, Macquarie Research, May 2026

Figure 24 - Laopu's comparable store sales and SSSG



Source: Company data, Macquarie Research, April 2026

Expect growth moderation from high base

Heritage gold jewellery typically has a higher gross profit margin than other types of gold jewellery. This is mainly because it involves more complex craftsmanship and sells at higher average prices. Within this category, gem-set heritage gold jewellery tends to have even higher margins than pure gold pieces, as consumers are willing to pay extra for the combination of gold and gemstones.

As Laopu focuses on heritage gold jewellery, with nearly half of sales coming from gem-set pieces, it generates a higher gross margin than most other gold jewellery brands.

Laopu usually adjusts its pricing twice annually to reflect its premium positioning and appeal to consumers seeking quality and uniqueness.

In 2024, the company implemented two price increases:

- 31 March 2024: price hike of 5%–9% for gem-set products, and c.10% for pure gold items.
- 23 September 2024: price hike of 4%–11%, with gem-set products rising 4%–9% on average, and some pure gold products over 10% increase.

In 2025, affected by the continuous and rapid rise in gold prices, the company implemented three price increases.

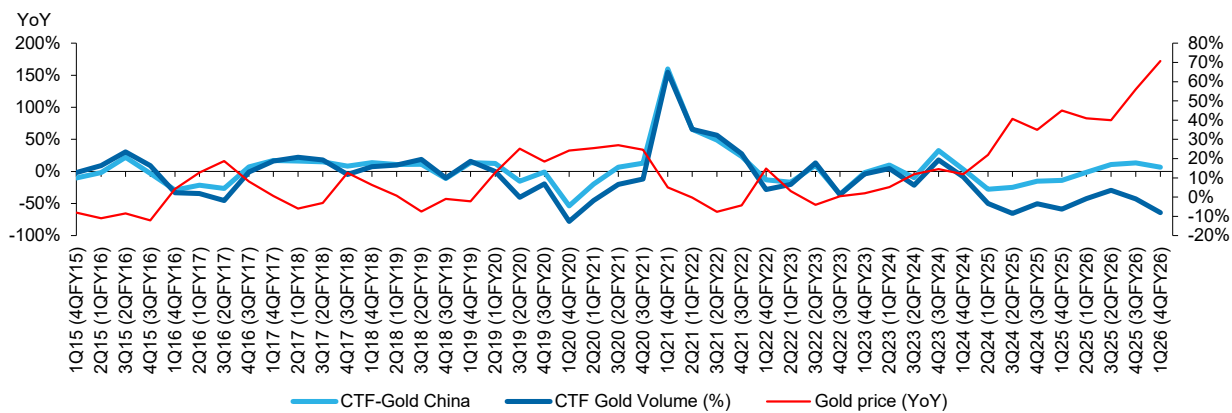
- 25 February 2025: 10% price hike

- 25 August 2025: 10%~13% price hike
- 26 October 2025: ~20% price hike

On 28 February 2026, Laopu announced the first round of product price hikes in 2026, with overall price hikes of 20%~30%.

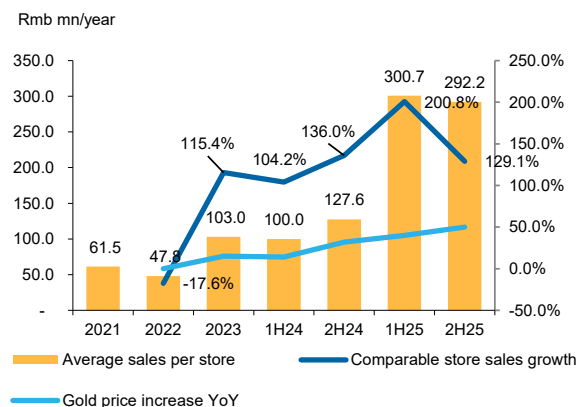
Based on historical Chow Tai Fook gold product SSSG, we see a negative correlation between gold sales volume and gold price trends. Although fixed-price gold jewellery recorded strong demand over the past two years despite the gold rally, we believe this demand was driven primarily by value preservation. We are concerned that Chinese consumers' purchasing power has not kept pace with frequent price hikes, leading to further volume deterioration. Even if gold prices stabilise or decline, this would still be a weak consumption backdrop, as most consumers buy gold jewellery for value preservation rather than discretionary demand.

Figure 25 - From Chow Tai Fook's mainland gold SSSG, we found negative correlation between sales volume and gold price trend



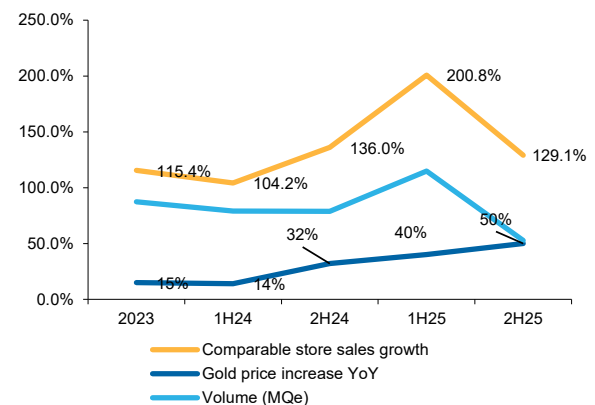
Source: Company data, Macquarie Research, May 2026

Figure 26 - Laopu's comparable store sales and SSSG



Source: Company data, Macquarie Research, May 2026

Figure 27 - Laopu's sales volume growth moderated amid elevated gold price



Source: Company data, Macquarie Research, May 2026

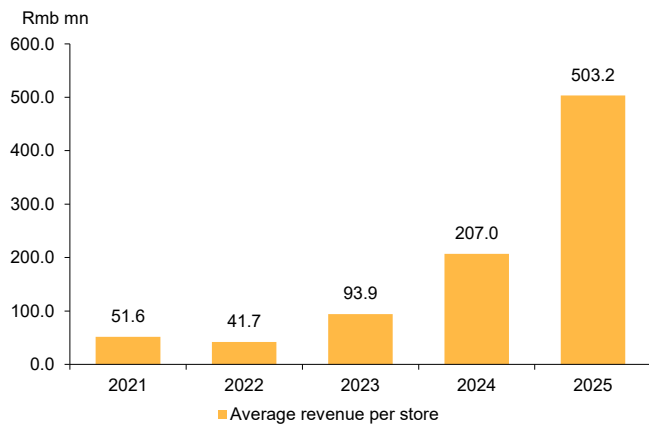
Scenario Analysis for Laopu Gold

We conduct scenario analysis for FY26E per-store sales and assume annual volume declines of 10%/20%/30% in 2026, reflecting the impact of elevated gold prices.

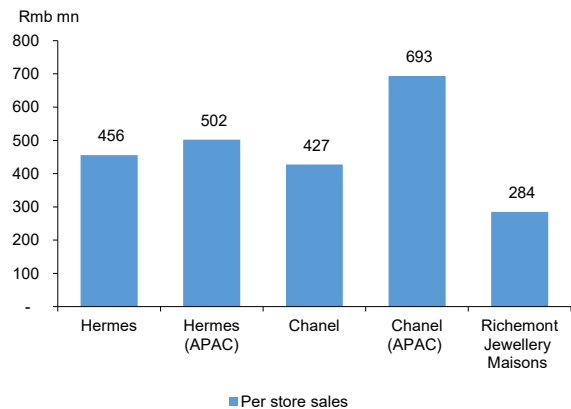
Figure 28 - Scenario analysis for Laopu Gold

	2024	2025	2026E	2026E scenario analysis			2027E
			MQe	Case A	Case B	Case C	MQe
Revenue	8,506	27,303	50,023	43,837	40,166	36,220	39,987
Boutiques revenue	7,450	22,646	36,052	34,523	31,783	28,769	24,376
Store count by FY-end	36	45	49	49	49	49	53
Average store count	33	41	47	47	47	47	51
Single store revenue	226	559	767	705	649	587	478
Store efficiency - yoy	140.3%	147.7%	37.2%	26.0%	16.0%	5.0%	(37.7%)
ASP - yoy				40.0%	45.0%	50.0%	
Volume - yoy				(10.0%)	(20.0%)	(30.0%)	
Online revenue	1,055	4,657	13,971	9,314	8,383	7,451	15,611
yoy				100%	80%	60%	12%
Gross margin	41.2%	37.6%	43.3%	43.3%	43.3%	43.3%	39.3%
Opex	(1,545)	(3,761)	(6,213)	(6,213)	(6,213)	(6,213)	(6,361)
Opex ratio	18.2%	13.8%	12.4%	14.2%	15.5%	17.2%	15.9%
Operating profit	1,956	6,513	15,464	12,784	11,193	9,483	9,358
Operating margin	23.0%	23.9%	30.9%	29.2%	27.9%	26.2%	23.4%
Net income	1,473	4,868	11,683	9,588	8,395	7,112	7,066
yoy			140.0%	97.0%	72.4%	46.1%	(39.5%)
Target price (10x PER)			742	609	533	452	453

Source: Macquarie Research, May 2026

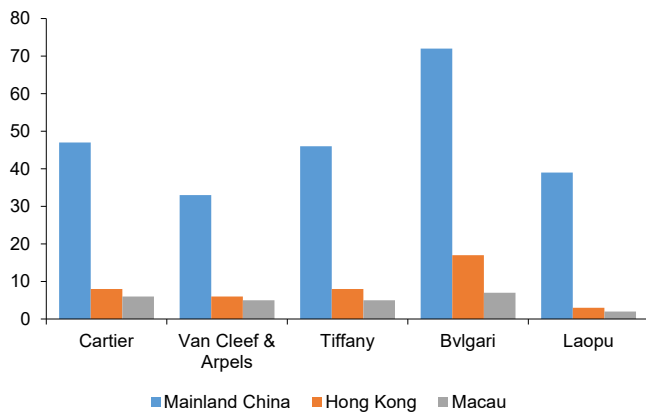
Figure 29 - Laopu's average revenue per store (based on store count by year-end)

Source: Company data, Macquarie Research, May 2026

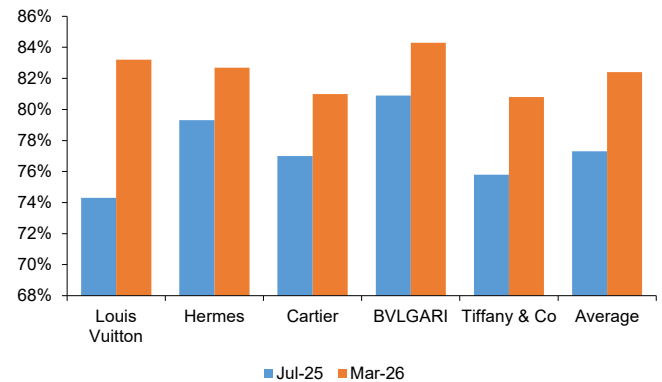
Figure 30 - Top luxury groups: average retail sales per boutique for FY25 (based on store count by year end)

Source: Company data, Macquarie Research, May 2026

Chanel data is FY24

Figure 31 - Number of boutiques by end of 2025

Source: Company data, Macquarie Research, May 2026

Figure 32 - The average overlap rate between Laopu Gold's customers and customers of five leading international luxury brands

Source: Frost & Sullivan, Macquarie Research, May 2026

Rising heritage gold competition

Laopu's meteoric success is attracting intense competition in China's gold jewellery market, making it increasingly difficult to drive per-store sales growth. Both established brands and new entrants are crowding into the "heritage gold" niche that Laopu pioneered. As more jewellers target the same high-end consumer, Laopu faces growing pressure to sustain its same-store sales momentum. In our view, intensifying competition will cap average revenue per store, reinforcing our limited-upside view on growth per boutique.

Figure 33 - Heritage gold products under different brands

Brand	Laopu Gold	Laopu Gold	Laopu Gold	Chow Tai Fook	Chow Tai Fook
					
Material	Pure Gold + Diamond	Pure Gold + Diamond	Pure Gold + Diamond	Pure Gold + Diamond	Pure Gold + Diamond
Technique	Heritage gold	Heritage gold	Heritage gold	Heritage gold	Heritage gold
Gold Weight	7.8	14	13.8	10.8	7.3
Product price	22,270	38,890	38,590	22,816	16,376
Implied Rmb/g	2,855	2,778	2,796	2,113	2,243

Source: TMall, prices as of 19/03/2026, Macquarie Research, May 2026

Figure 34 - Heritage gold products under different brands

Brand	Luk Fook	Chow Tai Seng	CHJ	Jemper	Borland
					
Material	Pure Gold + Diamond	Pure Gold + Diamond	Pure Gold + Diamond	Pure Gold + Diamond	Pure Gold + Diamond
Technique	Heritage gold	Heritage gold	Heritage gold	Heritage gold	Heritage gold
Gold Weight	9.9	14.35	15.4	14.8	19.8
Product price	27,523	25,625	37,042	39,222	43,166
Implied Rmb/g	2,780	1,786	2,405	2,650	2,180

Source: TMall, prices as of 19/03/2026, Macquarie Research, May 2026

Figure 35 - China Emerging Heritage Gold Brands and Store Network (as of April)

		Laopu Gold	Junpei	Borland	Linchao	Baowangfu	Court Quality Craftsmanship	Gongxi Huangguan
City	Mall	老铺黄金	君佩	宝兰	琳朝	宝王府	宫廷质造	宫喜黄逅
Beijing	SKP	Open						
Beijing	China World Mall	Open	Open	Under Construction			Open	
Beijing	Wangfujing Zhonghuan	Open						
Beijing	Tongzhou Mixc							
Beijing	Century Jinyuan							
Beijing	Oriental Xintiandi	Open						
Beijing	Joy Breeze	Open						
Beijing	China Grand Hotel	Open						
Beijing	Gongmei Building	Open						
Beijing	Department Store Building	Open						
Beijing	SKP-S	Open						
Beijing	DT51	Open						
Shanghai	IFC Mall	Open				Open		
Shanghai	Hang Lung Plaza	Open						
Shanghai	Yu Garden	Open	Under Construction					
Shanghai	Grand Gateway	Open				Open		
Shanghai	iapm Mall					Under Construction		
Shanghai	Taikoo Hui Qiantan							
Shanghai	Xintiandi	Open						
Guangzhou	Taikoo Hui	Open	Open					
Shenzhen	MixC	Open	Open	Open				
Shenzhen	Bay MixC	Open	Open					Open
Shenzhen	MixC World	Open						
Shenzhen	One Bay City							
Nanjing	Deji Plaza	Open	Open	Under Construction	Under Construction			Open
Nanjing	IFC Nanjing	Open						
Nanjing	Xinjiekou Central Mall							
Nanjing	Jingfeng Center							
Wuxi	Juhui							
Taizhou	MixC							
Suzhou								
Hangzhou	Tower	Open	Under Construction	Open				Open
Hangzhou	MixC	Open	Open	Open				Open
Ningbo	MixC							
Ningbo	Hankyu					Open		
Ningbo	Heyi Avenue					Open		
Xi'an	SKP	Open						
Xi'an	DT51						Open	
Xi'an	Saige International							
Zhengzhou	Denis David City	Open						
Wuhan	SKP	Open						
Wuhan	Wushang Mall World Trade	Open						
Xiamen	MixC	Open						
Chengdu	IFS	Open						Open
Chengdu	Taikoo Li		Open					
Chengdu	SKP	Open						
Chongqing	Starlight 68					Open		
Jinan	MixC		Open					
Qingdao	Hisense Plaza					Open		
Tianjin	Hisense Plaza					Open		
Tianjin	MixC	Open						
Shijiazhuang	MixC							
Shenyang	MixC	Open	Open					
Changchun	MixC		Open					
Lanzhou					Open			
Dunhuang								

Source: Macquarie Research, May 2026

Figure 36 - China Emerging Heritage Gold Brands and Store Network (as of April)

		Duobao Taojin Shop	Yuewang Ancient Gold	Jingjiang Gold	Yutai Gold	Qingtai Gold	Wenbo Fair	Dunhuang Gold	Laowannian
City	Mall	多宝阁金铺	越王古法黄金	京匠黄金	御泰黄金	庆泰黄金	文博金	敦煌金	老万年
Beijing	SKP		Open						
Beijing	China World Mall			Under Construction					
Beijing	Wangfujing Zhonghuan								
Beijing	Tongzhou Mixc		Open						
Beijing	Century Jinyuan		Open						
Beijing	Oriental Xintiandi				Open				
Beijing	Joy Breeze								
Beijing	China Grand Hotel								
Beijing	Gongmei Building								
Beijing	Department Store Building								
Beijing	SKP-S								
Beijing	DT51								
Shanghai	IFC Mall	Under Construction							
Shanghai	Hang Lung Plaza								
Shanghai	Yu Garden							Under Construction	
Shanghai	Grand Gateway								
Shanghai	iapm Mall								
Shanghai	Taikoo Hui Qiantan								
Shanghai	Xintiandi				Under Construction				
Guangzhou	Taikoo Hui								
Shenzhen	MixC								
Shenzhen	Bay MixC		Open		Open		Open		
Shenzhen	MixC World								
Shenzhen	One Bay City						Recruiting		
Nanjing	Deji Plaza	Open				Open			Under Construction
Nanjing	IFC Nanjing								
Nanjing	Xinjiekou Central Mall		Open						
Nanjing	Jingfeng Center		Open						
Wuxi	Juhui		Open						
Taizhou	MixC		Open						
Suzhou									Open
Hangzhou	Tower			Open					
Hangzhou	MixC	Open							
Ningbo	MixC		Open						
Ningbo	Hankyu								
Ningbo	Heyi Avenue								
Xi'an	SKP		Open						
Xi'an	DT51								
Xi'an	Saige International		Open						
Zhengzhou	Denis David City								
Wuhan	SKP		Open						
Wuhan	Wushang Mall World Trade			Open					
Xiamen	MixC								
Chengdu	IFS								
Chengdu	Taikoo Li								
Chengdu	SKP		Open						
Chongqing	Starlight 68								
Jinan	MixC								
Qingdao	Hisense Plaza								
Tianjin	Hisense Plaza		Open						
Tianjin	MixC		Open						
Shijiazhuang	MixC		Open						
Shenyang	MixC								
Changchun	MixC								
Lanzhou									
Dunhuang								Open	

Source: Macquarie Research, May 2026

Imminent operating deleveraging risks

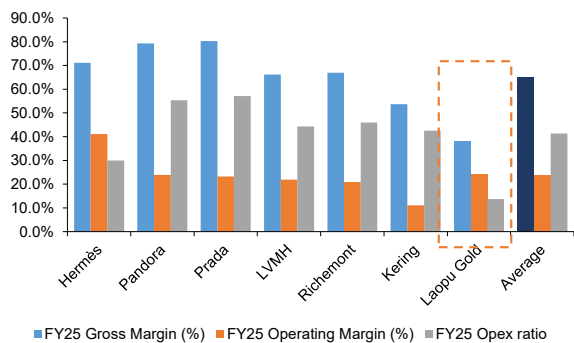
Laopu is benefiting from significant same-store sales growth, which creates substantial operating leverage and fast margin expansion. However, despite accelerating top-line performance, we see operating margin expansion and operating leverage benefits moderating.

From 2022 to 2025, Laopu's operating margin improved from 10.8% to 23.9%, however, over 2024 and 2025, the operating margin was relatively stable, with selling & marketing and administrative expenses ratio also showed limited improvement, despite triple-digit same-store-sales growth, indicating decelerating operating leverage.

In FY25, major luxury and jewellery brands reported average gross margins of 65% and operating margins of 24%. Laopu is priced and performing like an optimised “best-case” luxury brand, with operating margins above most peers except Hermès, with an operating expense ratio of 14% only in FY25, vs an average operating expense ratio of 41% for international peers. We think the company remains under-invested for its channel and brand building to maintain a sustainable business growth, and expect more brand investment and advertising expenses to kick in. This implies that any normalisation in China's "gold fever" or a moderation in its revenue growth will lead to immediate operating deleveraging risks.

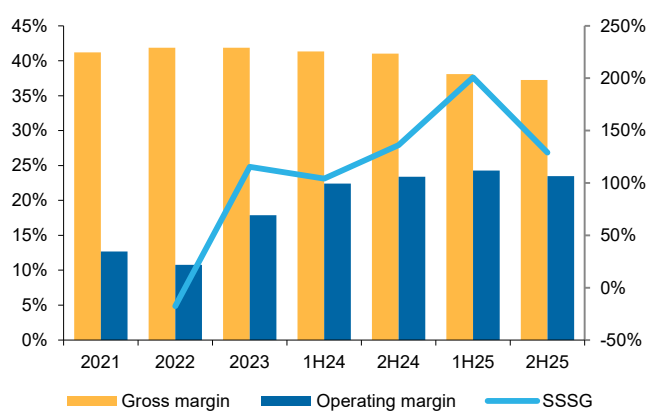
Dilemma between growth and capital management. At the end of 2025, the company had Rmb4.2bn net debt or Rmb6.3bn gross debt on the balance sheet with a total of 45 stores worldwide. We have concerns that the company could stretch its balance sheet further or fund raise to further expand its network.

Figure 37 - Laopu has significantly lower operating expenses ratio vs international luxury peers



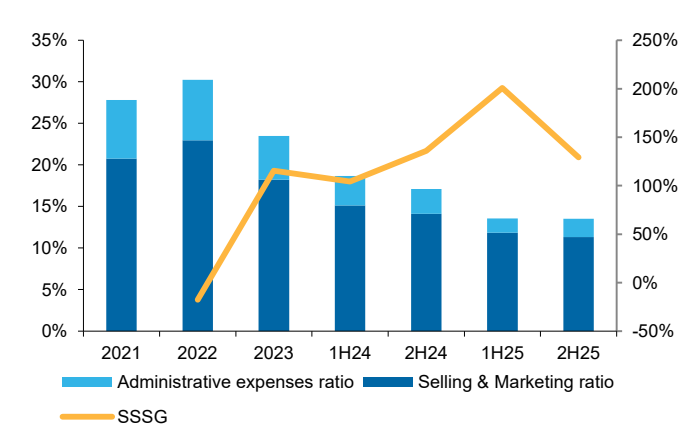
Source: Company data, Macquarie Research, May 2026

Figure 38 - Laopu saw decelerating OPM expansion despite stellar SSSG



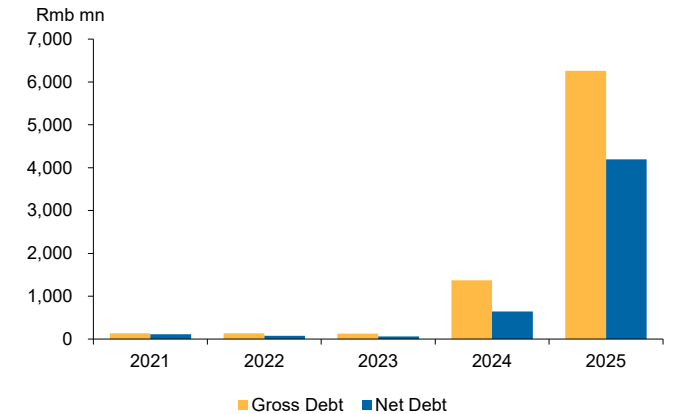
Source: Company data, Macquarie Research, May 2026

Figure 39 - Laopu saw limited operating leverage in FY25 despite substantial SSSG



Source: Company data, Macquarie Research, May 2026

Figure 40 - Laopu has Rmb4.2bn net debt of Rmb6.3bn gross debt as end of FY25



Source: Company data, Macquarie Research, May 2026

Risks for Chow Tai Fook

- **Risks:** Weaker-than-expected SSSG; weaker-than-expected margin improvement; weaker-than-expected new store openings

Risks for Luk Fook

- **Risks:** Weaker-than-expected SSSG performance; fierce competition from other gold jewellery brands.

Key Quant Findings

The quant model currently holds a neutral view on Laopu Gold. The strongest style exposure is Earnings Momentum, indicating this stock has received earnings upgrades and is well liked by sell side analysts. The weakest style exposure is Quality, indicating this stock is likely to have a weaker and less stable underlying earnings stream.

Macquarie Alpha Model: Key rankings

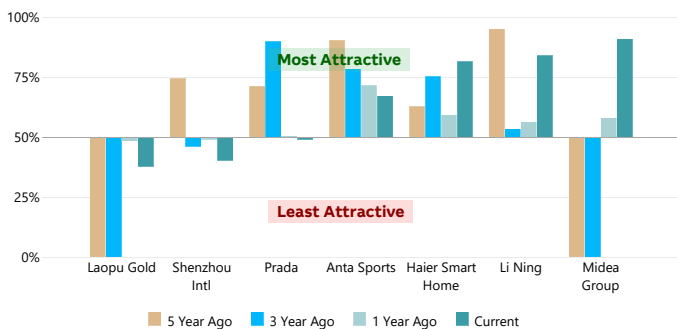
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Hong Kong	Consumer Durables & Apparel
Macquarie Alpha Model	10810/17986	370/594	418/687
Fundamental (Consensus) *	2918/17986	195/594	94/687

* based on Total Shareholder Return = Consensus Price target / Current Price

Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



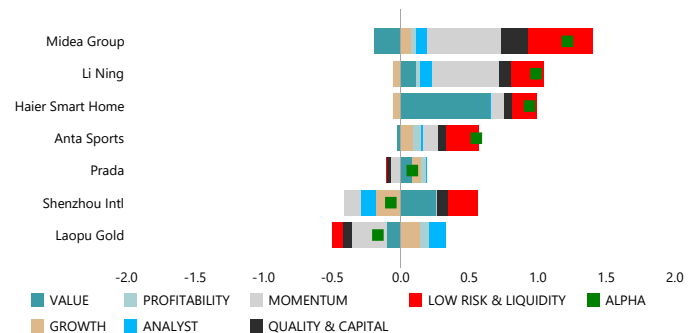
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/687)	market (/594)	
ALPHA	39%	38%	Built from the styles below
VALUE	40%	47%	Book, CF, Yield, Earnings Multiples
ANALYST	96%	97%	Revisions (Earnings, Recommendations)
MOMENTUM	50%	23%	Price Momentum
GROWTH	88%	76%	EPS, Sales (Forecast, Historic)
PROFITABILITY	91%	92%	ROE, Margin, Asset Turnover
QUALITY	16%	20%	Accruals, Earn Stability, Cash Conversion
CAPITAL	14%	17%	Investment/Capex, Net share issuance
LIQUIDITY	59%	51%	Size, Turnover, Analyst Coverage
LOW RISK	25%	34%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	33%	38%	MACD, RSI, Bollinger, Williams R, etc

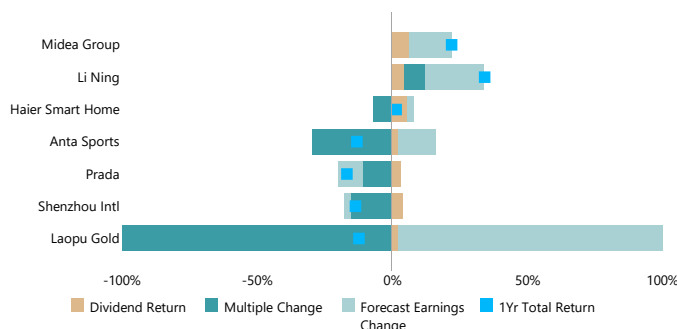
Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

Asia Ex JP	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Apr - 26	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25	Jul - 25	Jun - 25	May - 25		
ALPHA	3%	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	1%	7%	5%
VALUE	-7%	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	4%	10%	4%
ANALYST	12%	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	0%	15%	13%
MOMENTUM	19%	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	2%	2%	4%
GROWTH	7%	-4%	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	0%	4%	2%
PROFITABILITY	-4%	3%	0%	-4%	1%	3%	0%	-4%	-2%	-6%	1%	3%	-5%	-2%
QUALITY	-4%	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-4%	0%	-6%	-2%
CAPITAL	-12%	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	0%	1%	-4%
LIQUIDITY	7%	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	2%	-4%	2%
LOW RISK	-13%	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-1%	-8%	-7%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/dr/rp/OTUyMzg1>

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60-100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40-60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25-40% in a year. Low – stock should be expected to move up or down at least 15-25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Mar 2026

	AU/NZ	Asia	USA	
Outperform	66.90%	69.32%	67.14%	(for global coverage by Macquarie, 1.93% of stocks followed are investment banking clients)
Neutral	27.18%	17.21%	32.86%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	5.92%	13.47%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

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Company Name	Disclosure
Laopu Gold (6181 HK) Underperform 12-month target: HK\$453.00 - PER Valuation: HKD 453.00 - PER Price: HK\$592.50	Macquarie Capital Limited makes a market in the securities of Laopu Gold Co Ltd.
Chow Tai Fook (1929 HK) Outperform 12-month target: HK\$19.80 - PER Valuation: HKD 19.80 - PER Price: HK\$11.54	Macquarie Capital Limited makes a market in the securities of Chow Tai Fook Jewellery Group Ltd.
Luk Fook (590 HK) Outperform 12-month target: HK\$28.20 - PER Valuation: HKD 28.20 - PER Price: HK\$23.30	None

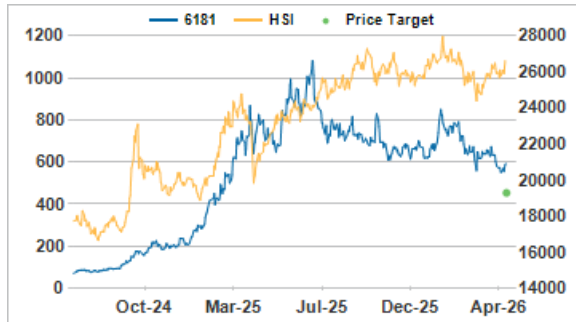
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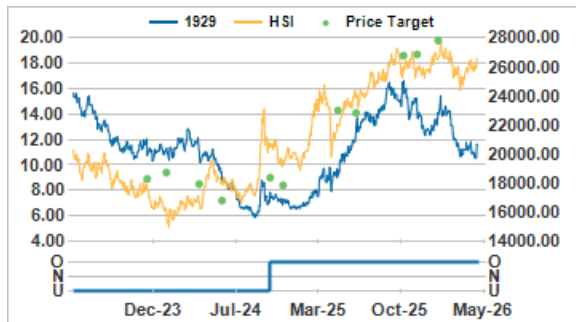
Recommendation history

Company name

Laopu Gold (6181 HK)

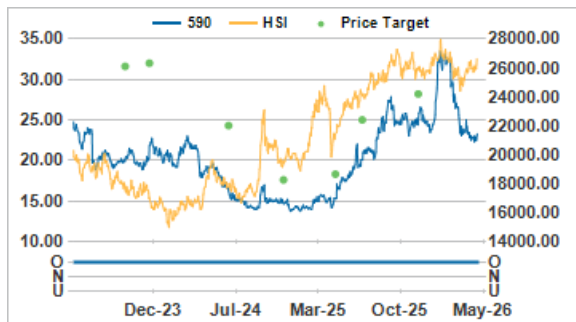


Chow Tai Fook (1929 HK)



22-Jan-2026	Outperform	HKD 19.80
26-Nov-2025	Outperform	HKD 18.70
20-Oct-2025	Outperform	HKD 18.60
13-Jun-2025	Outperform	HKD 14.10
25-Apr-2025	Outperform	HKD 14.30
27-Nov-2024	Outperform	HKD 8.40
23-Oct-2024	Outperform	HKD 9.00
14-Jun-2024	Underperform	HKD 7.20
13-Apr-2024	Underperform	HKD 8.50
15-Jan-2024	Underperform	HKD 9.40
24-Nov-2023	Underperform	HKD 8.90

Luk Fook (590 HK)



29-Nov-2025	Outperform	HKD 28.20
30-Jun-2025	Outperform	HKD 25.00
18-Apr-2025	Outperform	HKD 18.30
28-Nov-2024	Outperform	HKD 17.60
2-Jul-2024	Outperform	HKD 24.30
30-Nov-2023	Outperform	HKD 32.00
25-Sep-2023	Outperform	HKD 31.60

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